

websites such as Kiplinger's (www.kiplinger.com) and Bankrate (www.bankrate.com). Another helpful website for leasing options is www.leasecompare.com. The Federal Reserve publishes a useful guide called *Keys to Vehicle Leasing*, which you can get by going to www.federalreserve.gov/pubs/leasing or by phoning (202-452-3244).

Leasing agreements have their own jargon and can be pretty complicated. As a result, it's easy to get taken for a ride. Here's the key data you should collect if you're considering leasing a vehicle.

- **The “price” of the car on which the lease is based.** In leasing lingo, the term **adjusted capitalized cost** is basically the purchase price of the car you're leasing, as set by the dealer (the manufacturer's suggested retail price), *plus* tax and *minus* your down payment and the value of any trade-in. This serves as the basis for determining your monthly lease payment. It may also include extras like insurance, extended warranties, and other optional services. Make sure these extra charges are itemized so you can decide which ones you really want before you agree to include them in your contract. Also, bargain down the suggested purchase price in the same way you would if you were buying the car, following the steps outlined above.
A few companies offer what are known as **manufacturer-subsidized leases**, which get financial support from carmakers. You can find updated information on the best manufacturer-subsidized deals at Edmund's (www.edmunds.com).
- **The probable value of the car at the end of the lease.** This is known as the residual value. This isn't a number you can negotiate, but you can find out if the dealer is quoting you a fair residual value. One source is www.cars.com. To make a leasing deal more attractive, some car manufacturers are willing to make the residual value artificially high. If all other factors are equal, a high residual value is better for you, because your monthly payments are based on how much the car is expected to depreciate during the time you